

SENATE BILL 1985

By Taylor

AN ACT to amend Tennessee Code Annotated, Title 8;
Title 23; Title 39; Title 45; Title 47, Chapter 18;
Title 56; Title 62 and Title 66, relative to real
property.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Tennessee Real Estate
Consumer Fraud Protection Act."

SECTION 2. Tennessee Code Annotated, Section 56-35-109, is amended by deleting
the section and substituting:

Any foreign title insurance company desiring to transact a title insurance
business in this state must maintain an office within this state so long as any liability
remains outstanding against the insurer in this state.

SECTION 3. Tennessee Code Annotated, Title 56, Chapter 35, Part 1, is amended by
adding the following new section:

The premium for title insurance must be paid equally by the buyer and the seller
of the real property for which title insurance is being issued.

SECTION 4. Tennessee Code Annotated, Title 66, Chapter 4, is amended by adding
the following new part:

66-4-501.

A contract for conveyance of real property to a purchaser who is not a resident of
Tennessee must include the designation of an agent for the purchaser within the state
for the purpose of acknowledging or receiving service of process and upon whom
process may be served, in all proceedings that may be instituted against the purchaser
in any court of this state, or in any court of the United States in this state.

SECTION 5. Tennessee Code Annotated, Title 8, Chapter 13, is amended by adding the following new section:

8-13-120.

The register of deeds shall not record a deed for conveyance of real property unless the deed has been prepared by an attorney licensed in this state. The attorney shall include the attorney's board of professional responsibility number on the deed. A deed recorded on or after July 1, 2026, that was not prepared by an attorney may be declared void.

SECTION 6. This act takes effect July 1, 2026, the public welfare requiring it.